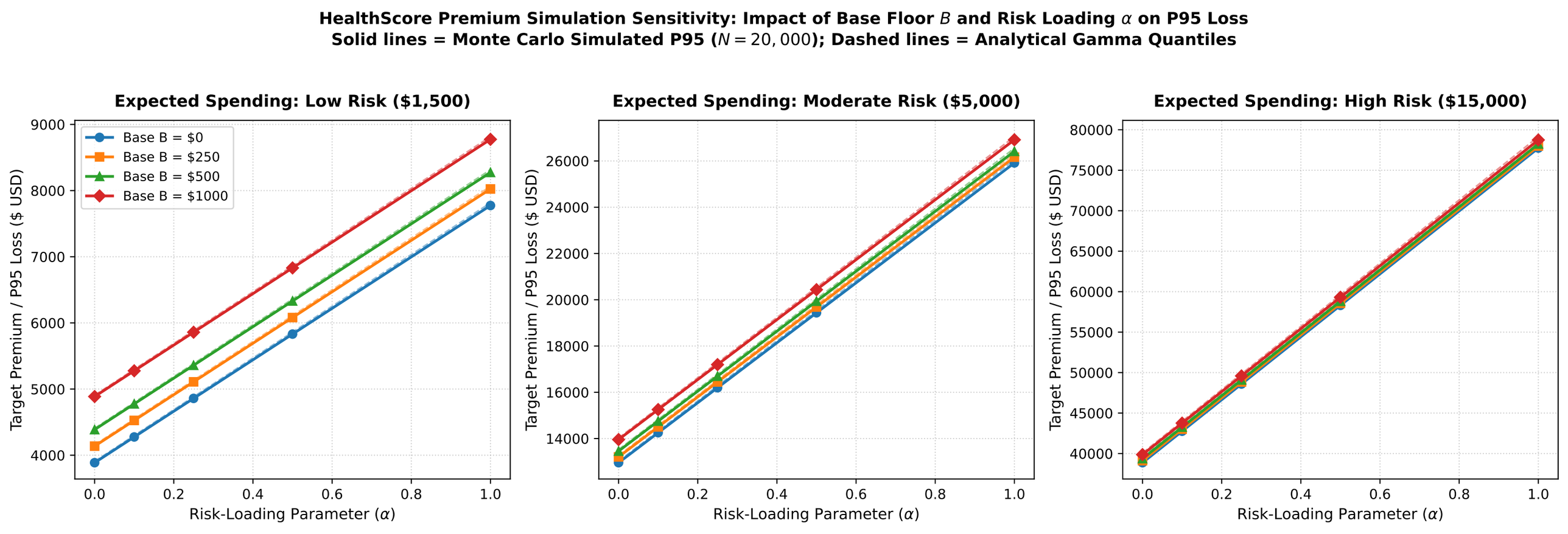
HealthScore Premium Simulation Sensitivity: Impact of Base Floor B and Risk Loading α on P95 Loss
Solid lines = Monte Carlo Simulated P95 ($N = 20,000$); Dashed lines = Analytical Gamma Quantiles
Expected Spending: Low Risk ($1,500)
Expected Spending: Moderate Risk ($5,000)
Expected Spending: High Risk ($15,000)
Base B = $0
Base B = $250
Base B = $500
Base B = $1000
Target Premium / P95 Loss ($ USD)
Risk-Loading Parameter (α)